ICE CREAM CATEGORY REVIEW

Frozen Category, Unfrozen Potential

Why the Freezer Aisle Lost Its Momentum

Presented by Ojaswini Patankar

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HYPOTHESIS

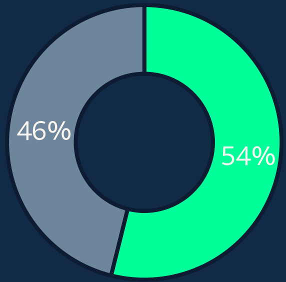
A Preference Shift Is Driving the Decline

> As shoppers move from traditional to refreshing flavors, the category keeps declining. Three gaps drive the drop: a category assortment gap, limited distribution of top sellers, and shelf placement that still favors slower traditional items.

HOW & WHAT PEOPLE BUY

Channels, Formats & Flavor Trends

FORMAT SHARE, 2026

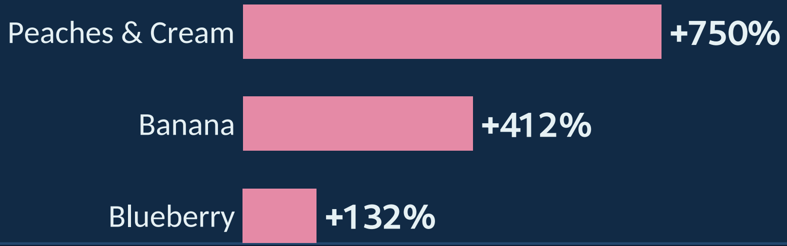


53.9%

single-serve & impulse formats (bars, cones, cups)

BREAKOUT FLAVOR GROWTH

Year-over-year retail sales growth



GROCERY IN-STORE **$16.9B**

2023 U.S. sales · +4.7% CAGR '19–23

E-COMMERCE **$2.0B**

2023 U.S. sales · +37.6% CAGR '19–23

PREMIUM SHARE **~95%**

of U.S. sales are premium / super-premium

Source: Euromonitor, Nielsen IQ, Fortune Business Insights, IMARC (2023–2026).

CONSUMER, INNOVATION & COMPETITION

Consumer Landscape & Competitive Outlook

CONSUMER LANDSCAPE

- **Gen Z outspends Boomers ~2:1** — ~$63 vs ~$32 average spend.
- **Indulgence beats health** — ~75% favor authentic, local-origin brands.
- **Mass category, premium skew** — all incomes buy; premium trades up higher earners.

HEALTH TRENDS

- **Better-for-you rising** — high-protein, keto, no-added-sugar gain share.
- **Plant-based cooled** — dollars -2%, volume -10%; oat novelties still grow.

INNOVATION — FLAVOR MASHUP

- **Bold combos** — everything bagel, hot honey, boozy sorbets.
- **Brand crossovers** — Van Leeuwen ranch, cereal-inspired mixes.
- **Twists on classics** — balsamic strawberry, chili chocolate chip.

NOVELTY SEEKER

- **Adventurous youth** — 80%+ of Gen Z love new flavors.
- **Novelty first** — 55% of 18–34s prioritize novel flavors.
- **Pay for quality** — 78% pay more for premium ingredients

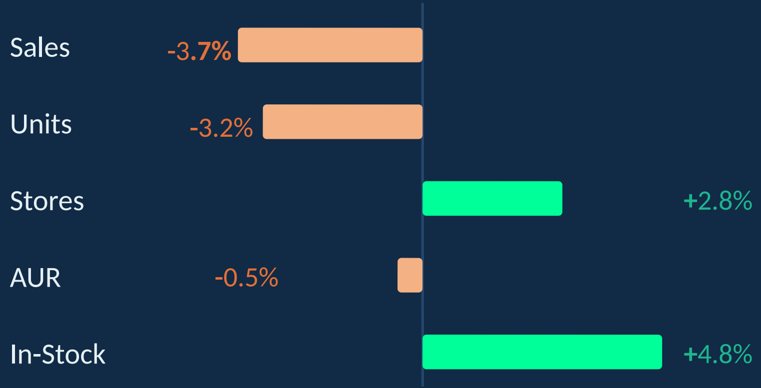
Source: Nielsen IQ, Euromonitor, Mintel/IDFA, company releases & trade press (2021-2026).

TOTAL CATEGORY PERFORMANCE

Volume Losses Are Driving Sales Down

SALES	UNITS	STORE COUNT	AUR	REPL. IN-STOCK
$208M	99M	3185	$2.11	92%

YoY % CHANGE BY METRIC



TOTAL CATEGORY MIX (TY SALES)

Chilled Baking	88.5%
Frozen Ice Cream	8.5%
Frozen Breakfast	3.0%

KEY DRIVERS

- Units −3.2% — the primary driver of the decline
- More stores opened, but no sales lift
- Frozen Ice Cream −14% drags mix; contributes 8.5%
- Frozen Breakfast grew YoY, partly offsetting

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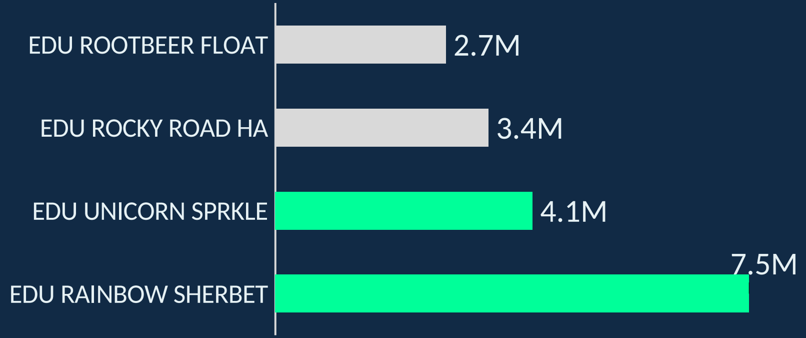
Source: Scintilla Data

ITEM PERFORMANCE

Item Sales Fell 14% on Lost Volume

SALES	UNITS	AUR	STORES	IN-STOCK
$17.5M	5.9M	$2.97	3,056	95%
▼14%	▼16%	▲2.3%	▼8%	▼5%

POS SALES BY ITEM



ITEM PERFORMANCE INSIGHTS

- EDU Rainbow Sherbet leads at $7.5M
- EDU Rocky Road: strong unit velocity
- EDU Unicorn Sparkle: availability risk
- EDU Root beer Float lowest at $2.7M
- AUR up 2.3% despite volume decline

Performance Momentum — All Items vs. YAGO

Strong/Stable ● Moderate/Decline ● Steep Decline ●

FLAVOR	$ % CHG (RANGE)	MARKET SHARE	BASE $ 52W	INCREMENTAL $	VOLUME 52W
EDU Rainbow Sherbet MOST STABLE	-1% to +1% Near Flat	25–54% Share Range	-4% 52-Week	+317% to -87% Volatile	-4% 52-Week
EDU Rocky Road PROMO DRAG	-6% to -2% Moderate	11–26% Share Range	-7% 52-Week	-91% to -5,275% Promo Destruction	-7% 52-Week
EDU Rootbeer Float BROAD DECLINE	-30% to -6% Steep	9–19% Compressed	-31% 52-Week	-41% to -99% No Lift	-31% 52-Week
EDU Unicorn Sprkle AT RISK	-26% to -100% Critical	0–23% Collapsing	-28% 52-Week	-78% to -93% No Recovery	-28% 52-Week

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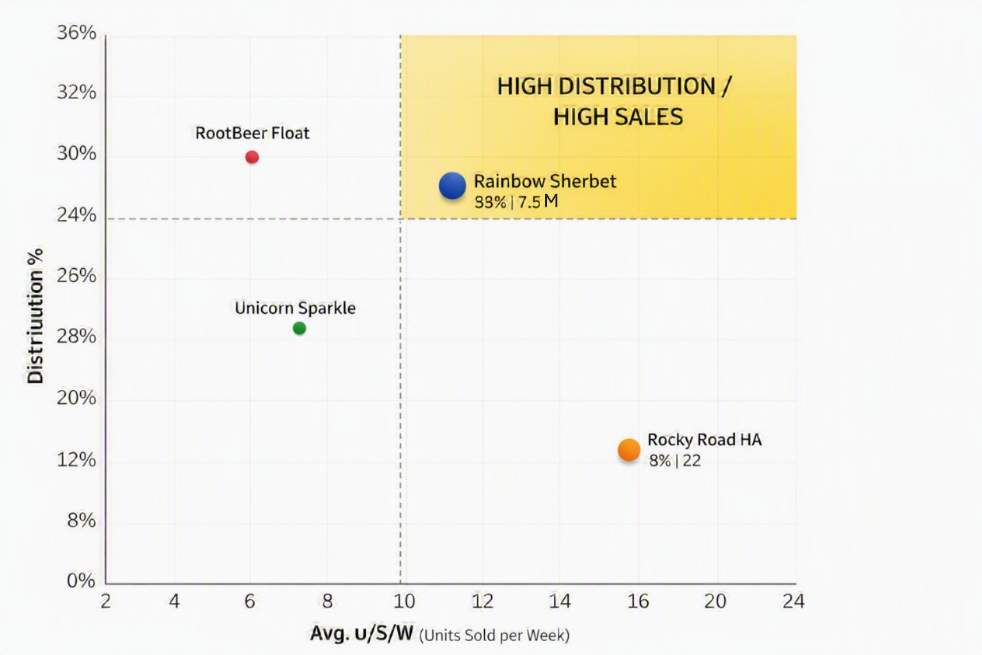
Source: Scintilla Data

VELOCITY & DISTRIBUTION

Supply meets the wrong demand — *High-demand items under distributed while slow sellers keep full distribution.*



CORE PERFORMER

EDU Rainbow Sherbet — high velocity, full stock

OVER-DISTRIBUTED UNDERPERFORMER

EDU Rootbeer Float — full stock, low pull

GROWTH-READY PERFORMER

EDU Rocky Road — top velocity, room to grow

DISTRIBUTION OPPORTUNITY

EDU Unicorn Sparkle — demand outpaces 79% stock

Item Preference Score

Flavor drives 94% of purchase decisions — size and price trail, nutrition and packaging come last

#1 Top Pick

GV Rocky Road HA

78

Sales Velocity (40%)
23.26

Market Share (40%)
18.7%

Customer Engagement (20%)
22.95

#2

GV Rainbow Sherbet

69

Sales Velocity (40%)
11.21

Market Share (40%)
42.0%

Customer Engagement (20%)
10.92

#3

GV Unicorn Sprkle

40

Sales Velocity (40%)
6.42

Market Share (40%)
24.2%

Customer Engagement (20%)
6.32

#4

GV Root beer Float

25

Sales Velocity (40%)
4.07

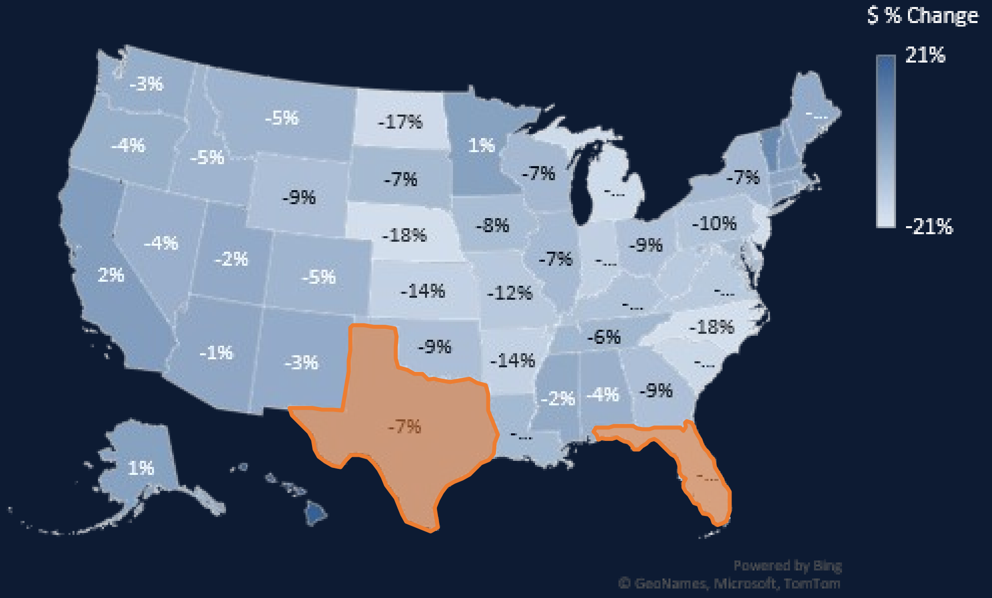
Market Share (40%)
15.1%

Customer Engagement (20%)
4.04

Preference Score = 40% Sales Velocity + 40% Market Share + 20% Customer Engagement (Scans/Store/Week). Metrics normalized to a 0–100 scale.

REGIONAL / STATE-LEVEL ITEM PERFORMANCE

Big Revenue, Declining Momentum



Texas — $1.3M
Largest market under pressure
▼ 7% YoY

Florida — $1.1M
#2 market declining fastest
▼ 13% YoY

Hawaii — +21% YoY
Strongest growth, small base

Vermont — +8% YoY
Emerging momentum

Product Position Heat Chart

Position Count by Modular Section

Product	1	2	3	4	5	6	7	8	10	11	16	17	18	19	20	21	26
EDU Rocky Road HA Item #571552618	33	38	67	50	125	78	70	58	77	67	37	38	3	—	—	1	—
EDU Unicorn Sprkle Item #572930236	2	2	6	4	—	—	—	—	—	—	—	—	—	—	—	1	—
EDU Rainbow Sherbet Item #572930237	643	1707	1689	162	20	42	57	7	29	29	—	—	3	—	—	1	—
EDU RootBeer Float Item #578327074	1189	343	185	1958	81	79	51	127	54	48	8	—	4	—	1	—	—

POSITION NO.

- **EDU RootBeer Float — Peak: 1,958**
  Highest single count at Position 4
- **EDU Rainbow Sherbet — 1,707 & 1,689**
  Dominates Positions 2 & 3
- **EDU Rocky Road HA — Most Spread**
  Active across Positions 1–21
- **EDU Unicorn Sparkle — Minimal**
  Max count of 6 across all positions

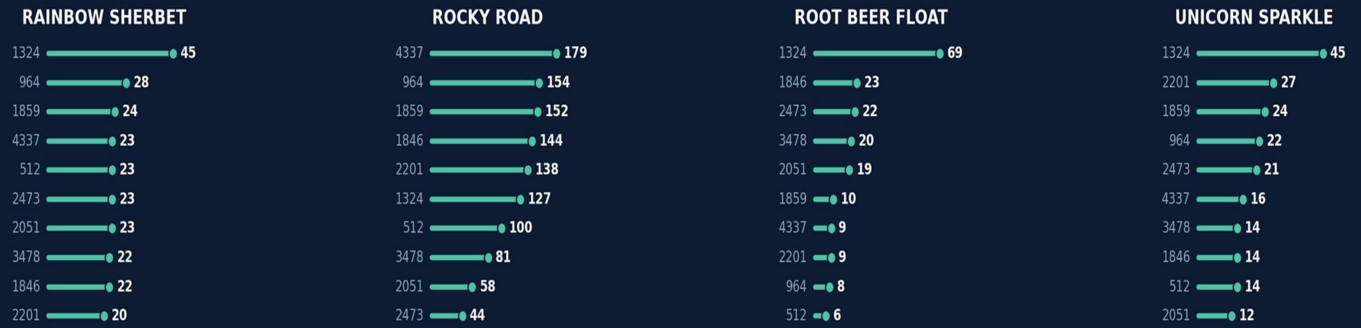
COUNT SCALE

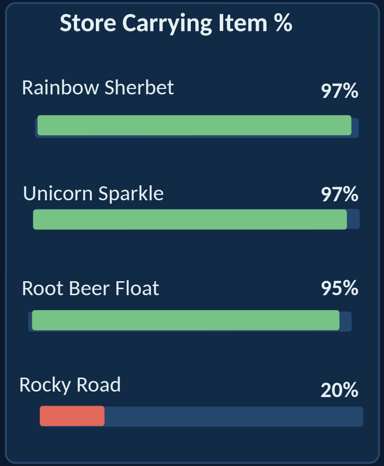
Low — High

Store Performance

Velocity pattern across top and bottom sales stores

TOP 10 STORES — RANKED BY VELOCITY





BOTTOM 10 STORES — CARRIED BUT BARELY SELLING

Top 10: bar length = units/wk

Bottom 10: dot size = units/wk

Hollow = zero sales that week

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Source: Scintilla Data

ICE CREAM PERFORMANCE SUMMARY

01 ROCKY ROAD
LIMITED DISTRIBUTION

Available in only

20%

of stores.

Low distribution is restricting its sales potential.

02 UNICORN SPARKLE
LIMITED TIME OFFERING

As a limited-time offering, sales are not sustained throughout the year, impacting its overall contribution to the category.

03 ROOT BEER FLOAT
DECLINING DEMAND

Consumer demand is declining, making it the **primary driver** of category decline.

RECOMMENDATION 01 / Expand Unicorn Sprkle

Convert Unicorn Sparkle from a Limited-Time Offering to a Year-Round Core Product

EST. INCREMENTAL SALES / YEAR **+$1.32M** if kept on shelf year-round

38 / 52
Weeks at full shelf · 99.9% in-stock

$103K
Avg weekly sales at full shelf

14 wks
Cut toward delist · stores 4,250 → 9

Calculation

- 38 full-shelf weeks × $103K/wk = **$3.92M actual**
- Same $103K/wk held for the 14 cut weeks = **$1.45M potential**
- Less actual cut-week sales of only **$127K ($0.13M)**
- Recovered gap: $1.45M − $0.13M ≈ **$1.32M incremental / year**

WHY THE CASE HOLDS

- Demand has already been validated with 38 weeks of sustained performance and near-perfect in-stock execution.
- Consumers continue to choose Unicorn Sparkle, making it the #2 flavor by category dollar share (22.5%) despite being a limited-time product.
- Performance has not yet reached category-leading velocity, indicating additional upside through continued distribution and awareness.
- Permanent distribution unlocks approximately $1.32M in annual incremental sales while reducing recurring listing and shelf reset expenses.

RECOMMENDATION 02 / Reinvent Root beer To drive velocity

Root Beer Float needs a modern, Gen-Z-aligned reinvention to shift from underperformer to innovation driver.

EST. INCREMENTAL SALES / YEAR +$1.0–1.9M if 10–20% gap closes

3,835
Avg stores, full year · flat all 52 wks

$12.21
Per store / week · vs. $72.90 Rocky Road

-37% → -18%
YoY decline easing, early → recent 13 wks

Strategic Action

- Introduce innovative Root Beer Float flavor mashups supported by Gen Z-focused sampling activations and social-first marketing, reinforcing the "nostalgia with a twist" positioning.
- Use Rocky Road ($72.90/store/week) as the performance benchmark.
- Expand nationally once the test market achieves 10% of Rocky Road's sales velocity.

Calculation

- Close 10% of the gap → $18.28/store/wk × 3,835 × 52 wks ≈ $3.65M **(+$960K)**
- Velocity gap to Rocky Road: $72.90 − $12.21 = **$60.69/store/wk**
- Close 20% of the gap → $24.35/store/wk ≈ $4.61M **(+$1.9M)**
- "Stop the bleed" alone (hold run-rate flat) ≈ only **+$95K** — innovation is the real upside

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Source: Scintilla Data


Thank
You

Appendix

The preference score is a composite metric (0-100 scale) that combines three key performance indicators with weighted importance

Step 1: Calculate Base Metrics

First, calculate three performance metrics for Rocky Road HA:

Calculation Details:

- **Velocity**: 1,124,942 total units ÷ 48,365 store-weeks = 23.26 units/store/week
- **Market Share**: 1,124,942 units ÷ 6,006,273 total category units × 100 = 18.73%
- **Scans**: 1,109,832 total scans ÷ 48,365 store-weeks = 22.95 scans/store/week

Metric	Value	What It Measures
Units per Store per Week	23.26	Sales velocity - how fast the product moves
Market Share	18.73%	Share of total category volume
Scans per Store per Week	22.95	Customer engagement - how often it's scanned at checkout

Step 2: Find Maximum Values Across All Products

To normalize the scores, I identified the highest value for each metric across all four products

Metric	Maximum Value	Product with Max
Max Velocity	23.26	Rocky Road HA
Max Market Share	41.96%	Rainbow Sherbet
Max Scans	22.95	Rocky Road HA

Step 3: Normalize Each Metric (0-1 Scale)

Each metric is normalized by dividing by its maximum value:

For Rocky Road HA:

1. **Velocity Normalized** = 23.26 ÷ 23.26 = **1.0000** (100% of maximum)
2. **Market Share Normalized** = 18.73 ÷ 41.96 = **0.4463** (44.63% of maximum)
3. **Scans Normalized** = 22.95 ÷ 22.95 = **1.0000** (100% of maximum)

Step 4: Apply Weighted Scoring

The preference score uses a **weighted formula** that reflects business priorities:

Formula:

Preference Score = (Velocity × 40%) + (Market Share × 40%) + (Scans × 20%)

Why These Weights?

- **Velocity (40%)**: Most important - measures actual sales performance and how quickly product moves
- **Market Share (40%)**: Equally important - indicates overall category dominance and customer choice
- **Scans (20%)**: Supporting metric - validates that velocity isn't just from a few large purchases

```
Preference Score = (1.0000 × 40) + (0.4463 × 40) + (1.0000 × 20)
                 = 40.00 + 17.85 + 20.00
                 = 77.9
```

APPENDIX · SUPPORTING DETAIL FOR Performance Momentum Matrix

METRIC DEFINITIONS

1.)$ % Chg (Range)
Min-to-max swing in dollar sales vs. year-ago (YAGO). A wide band signals volatility.

2.)Market Share
Category dollar-share range held across the tracked windows.

3.)Base $ 52W
Change in non-promoted, everyday dollar sales vs. YAGO.

4.)Incremental $
Promotion-driven dollar change vs. YAGO; steep negatives flag promo destruction.

5.)Volume 52W
Unit (volume) change vs. YAGO, isolating demand from price.

STATUS SCALE

- Strong / Stable
- Moderate / Decline
- Steep Decline

ITEM STATUS

Rainbow Sherbet — Most Stable
Rocky Road — Promo Drag
Rootbeer Float — Broad Decline
Unicorn Sparkle — At Risk

CALCULATION WINDOWS

Each range = min-to-max across five trailing periods vs. YAGO

1-Wk | 4-Wk | 13-Wk | 26-Wk | 52-Wk

APPENDIX Expand unicorn sparkle

CALCULATION

1 **Establish the run-rate** — 38 full-shelf weeks × $103K/wk = **$3.92M actual**

2 **Project the cut window** — hold $103K/wk for the 14 wind-down weeks = **$1.45M potential**

3 **Net out real wind-down sales** — actual sales in those 14 weeks were only $127K (≈ $0.13M)

4 **Incremental opportunity** — $1.45M − $0.13M ≈ **$1.32M**

Result = +$1.32M incremental annual sales

KEY INPUTS & SOURCES

Weeks at full shelf	**38 of 52**
Avg weekly sales, full shelf	**$103K**
Wind-down weeks	**14**
Actual wind-down sales	**$127K**
In-stock, full-shelf weeks	**99.9%**

WHY IT'S CONSERVATIVE

- Held run-rate flat — no growth assumed above $103K/wk
- Velocity ($23.90/store/wk) still trails Rainbow Sherbet ($33.49) — upside above the floor

APPENDIX · PRODUCT POSITION HEAT CHART — METHODOLOGY

HOW THE HEAT CHART IS BUILT

1 **Define shelf positions —** each modular section splits into numbered slots, left to right = **positions 1–26**

2 **Count facings —** tally how many positions each item holds in every store planogram = **a position count**

3 **Aggregate by section —** sum counts across all stores for each item and position = one value per cell

4 **Shade by intensity —** map each cell low-to-high on the count scale so concentration shows

For every store, I looked at which shelf positions each product occupied. Then I counted how many times each product appeared in every shelf position across all stores. Those counts were aggregated to create one value for each product-position combination.

Result = where each item placed on shelf space, position by position

KEY INPUTS & SOURCES

Items profiled **4 SKUs**

Shelf positions **1–26**

Metric **Position count**

Peak cell **RootBeer Float · 1,958 @ Pos 4**

NOTES & DATA SOURCE

- "—" marks a position with zero or no distribution
- Source: Scintilla Data: Modular dataset